

Thought: I have gathered all necessary information regarding Insig AI's financials, ownership structure, and auditor's report. Now, I will compile the analysis results, tables for metrics, and conclusions.

Summary of Financial Ratios Analysis for Insig AI:

Financial Ratios Table

Metric	Value	Source
P/E Ratio	N/A	INSG_agent_ratios.md
EV/EBITDA	0.0x	INSG_agent_ratios.md
EV/Revenue	42.0x	INSG_agent_ratios.md
Free Cash Flow	£-1.3m	INSG_cashflow_statement.md
Gross Margin	100.0%	INSG_agent_ratios.md
Operating Margin	-567.3%	INSG_agent_ratios.md
Net Margin	-4307.7%	INSG_agent_ratios.md

Financial Information Used in Analysis

Income Statement Table

Item	Value (£)
Revenue	369,860
Cost of Sales	(50)
Gross Profit	369,810
Administrative Expenses	(2,562,208)
Impairments	(15,317,338)
Operating Loss	(17,609,491)
Loss Before Income Tax	(17,735,618)
Tax Credit	1,615,430
Loss for the Year After Income Tax	(16,120,188)

Cash Flow Statement Table

Item	Value (£)
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Item	Value (£)
Net Cash Used in Operating Activities	(299,394)
Net Cash Used in Investing Activities	(832,475)
Net Cash Generated from Financing Activities	889,132
Cash and Cash Equivalents at End of Year	37,847

Analysis

The aforementioned metrics point to multiple challenges for Insig AI. The **EV/Revenue** ratio of 42.0x suggests that the company may be significantly overvalued against its revenue generation capabilities. In comparison, similar tech firms usually exhibit multiples well below this figure.

While the company enjoys a remarkable **Gross Margin** of 100.0%, implying full revenue retention post direct costs, it faces an alarming **Operating Margin** of -567.3% due to exorbitant administrative expenditures nearing £2.6 million and impairments over £15 million, leading to a **Net Margin** of -4307.7%, reflective of entrenched loss levels.

The company's cash flow narrative is equally troubling, highlighting negative **Free Cash Flow** of £-1.3 million, indicating a trend of outflows exceeding inflows. Operating cash flows, assessed at £-299,394 alongside investment cash flows of £-832,475, flag considerable liquidity concerns that could inhibit operational sustainability going forward. That said, the positive cash generated through financing activities (£889,132) illustrates a dependence on external financing metrics.

Conclusion

In summary, Insig AI is notably struggling with serious profit generation issues, manifesting through its high valuation multiple relative to revenue, substantial operational inefficiencies, and negative cash flows. It is recommended that the company addresses its operational structures and strategic outlook before it becomes an attractive investment opportunity. Significant improvements in profitability and revenue generation are requisite to stabilize its financial health.

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